20. Finance Income and Expense

(A) Details of finance income and expense for the nine months ended September 30, 2014 and 2013 are as follows:

	September 30, 2014		September 30, 2013	
(In millions of Korean won)	3 Months	9 Months	3 Months	9 Months
Finance income				
Interest income:	₩ 480,149	₩ 1,343,255	₩ 371,736	₩ 954,245
Interest income from loans and receivables	449,731	1,283,582	370,305	950,030
Interest income from available-for-sale financial assets	30,418	59,673	1,431	4,215
Foreign exchange differences	1,058,158	3,603,871	1,517,119	4,942,015
Gain on derivatives	144,289	422,566	109,687	360,946
Total	₩ 1,682,596	₩ 5,369,692	₩ 1,998,542	₩ 6,257,206

	September 30, 2014		September 30, 2013	
(In millions of Korean won)	3 Months	9 Months	3 Months	9 Months
Finance expense				
Interest expense:	₩ 154,360	₩ 442,545	₩ 132,357	₩ 387,230
Interest expense from financial liabilities measured at amortized cost	96,161	288,964	80,960	235,547
Other financial liabilities	58,199	153,581	51,397	151,683
Foreign exchange differences	1,131,322	3,768,362	1,745,810	5,213,425
Loss on derivatives	154,477	465,955	164,503	516,436
Total	₩ 1,440,159	₩ 4,676,862	₩ 2,042,670	₩ 6,117,091

(B) The Company recognizes foreign exchange gains and losses arising from foreign currency transactions and translation as finance income and expense.

21. Income Tax Expense

Income tax expense is recognized based on management's best estimate of the average annual income tax rate expected for the full financial year. The average annual tax rate expected as of September 30, 2014 to be effective for the year ended December 31, 2014 is 19.0% (September 30, 2013: 20.4%).

22. Earnings per Share

(A) Basic earnings per share

Basic earnings per share for the nine months ended September 30, 2014 and 2013 are calculated as follows:

(1) Common stock

	September 30, 2014		September 30, 2013	
(In millions of Korean won and thousands of shares)	3 Months	9 Months	3 Months	9 Months
Net income as reported on the statements of income	₩ 4,135,422	₩ 17,796,608	₩ 8,049,537	₩ 22,601,471
Net income available for common stock	3,590,812	15,453,185	6,989,137	19,624,041
Weighted-average number of common shares outstanding (in thousands)	130,963	130,949	130,880	130,873
Basic earnings per share (in Korean won)	₩ 27,419	₩ 118,009	₩ 53,401	₩ 149,948

(2) Preferred stock

(In millions of Korean won and thousands of shares)	September 30, 2014		September 30, 2013	
	3 Months	9 Months	3 Months	9 Months
Net income as reported on the statements of income	₩ 4,135,422	₩ 17,796,608	₩ 8,049,537	₩ 22,601,471
Net income available for preferred stock	544,610	2,343,423	1,060,400	2,977,430
Weighted-average number of preferred shares outstanding (in thousands)	19,854	19,854	19,854	19,854
Basic earnings per preferred share (in Korean won)	₩ 27,431	₩ 118,034	₩ 53,411	₩ 149,968

(B) Diluted earnings per share

The Company has one category of potentially dilutive ordinary shares: stock options. Dilutive earnings per share is calculated by adjusting the weighted average number of ordinary shares outstanding to assume conversion of all dilutive potential ordinary shares.

Diluted earnings per share for the nine months ended September 30, 2014 and 2013 are calculated as follows:

(1) Common stock

(In millions of Korean won and thousands of shares)	September 30, 2014		September 30, 2013	
	3 Months	9 Months	3 Months	9 Months
Net income available for common stock and common stock equivalents	₩ 3,590,822	₩ 15,453,227	₩ 6,989,478	₩ 19,625,160
Weighted-average number of shares of common stock and common stock equivalents (in thousands)	130,965	130,959	130,929	130,929
Diluted earnings per share (in Korean won)	₩ 27,418	₩ 118,000	₩ 53,384	₩ 149,891

(2) Preferred stock

(In millions of Korean won and thousands of shares)	September 30, 2014		September 30, 2013	
	3 Months	9 Months	3 Months	9 Months
Net income available for preferred stock and preferred stock equivalents	₩ 544,600	₩ 2,343,381	₩ 1,060,059	₩ 2,976,311
Weighted-average number of shares of preferred stock and preferred stock equivalents (in thousands)	19,854	19,854	19,854	19,854
Diluted earnings per preferred share (in Korean won)	₩ 27,431	₩ 118,032	₩ 53,393	₩ 149,912